A Few Things I'm Pretty Sure About

Things I've been thinking about lately.

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I broke my back skiing when I was a teenager. It's still screwed up and I occasionally tweak it, leaving me in agony for a few days. When I'm in pain I've noticed: I'm irritable, short-tempered, and impatient. I try hard to not be, but pain can override the best intentions.

One lesson I've tried to learn is that whenever I see someone being a jerk, my knee-jerk reaction is to think, "What an asshole." My second reaction is: maybe his back hurts.

It's not an excuse, but a reminder that all behavior makes sense with enough information. You can always see people's actions, but rarely (if ever) what's happening in their head.

Here's a related point: Most harm done to others is unintentional. I think the vast majority of people are good and well-meaning, but in a competitive and stressful world it's easy to ignore how your actions affect others.

Roy Baumeister writes in his book Evil:

> Evil usually enters the world unrecognized by the people who open the door and let it in. Most people who perpetrate evil do not see what they are doing as evil. Evil exists primarily in the eye of the beholder, especially in the eye of the victim.

One consequence of this is that it's easy to underestimate bad things happening in the world. If I ask myself, "How many people want to cause harm?" I'd answer "very few." If I ask, "How many people can do mental gymnastics to convince themselves that their actions are either not harmful or justified?" I'd answer … almost everybody.

An iron rule of math is that 50% of the population has to be below average. It's true for income, intelligence, health, wealth, everything. And it's a brutal reality in a world where social media stuffs the top 1% of moments of the top 1% of people in your face.

You can raise the quality of life for those below average, or set a floor on how low they can go. But when a majority of people expect a top 5% outcome the result is guaranteed mass disappointment.

I think the majority of society problems are all downstream of housing affordability. The median age of first-time homebuyers went from 29 in 1981 to 40 today. But the shock this causes is so much deeper than housing. When young people are shut out of the life-defining step of having their own place, they're less likely to get married, less likely to have kids, have worse mental health, and – my theory – more likely to have extreme political views, because when you don't feel financially invested in your community you're less likely to care about the consequences of bad policy.

Every economic issue is complex, but this one seems pretty straight forward: we should build more homes. Millions of them, as fast as we can. It's the biggest opportunity to make the biggest positive impact on society.

I heard someone say recently that the reason so many people are skeptical AI will improve society – or are terrified it will do the opposite – is because it's not clear the internet (and phones) made their life better.

That's a subjective point, but it got me thinking: Imagine if you asked people 25 years after these things were invented whether life was better or worse because of their existence: Electricity, radio, airplane, refrigeration, air conditioning, antibiotics, etc.

I think nearly everyone would say "better." It wouldn't even be a question.

The internet is unique in the history of technology because there's a list of things it improved (communication, access to information) but another list of things it likely made worse for almost everybody (political polarization, dopamine addiction from social media, less in-person interaction, lower attention spans, the spread of misinformation.)

There aren't many examples throughout history of technology so universal with so many obvious downsides relative to what existed before it. But the wounds are so fresh that it's not surprising many look at AI with the same fear.

This is more hope than prediction, but I wouldn't be surprised if in 20 years we look back at this era of political nastiness as a generational bottom we grew out of.

There's a long history of Americans cycling through how they feel about government and how politicians treat each other.

The 1930s were unbelievably vicious. There was a well organized plot to overthrow Franklin Roosevelt and replace him with a Marine general named Smedley Butler, who would effectively become dictator. The Great Depression made Americans lose so much faith in government that the prevailing view was, "hey, might as well give this a shot."

It would have sounded preposterous if someone told you in the 1930s that by the 1950s more than 70% of Americans said they trusted the government to do the right thing almost all the time. But that's what happened.

And it would have sounded preposterous in the 1950s if you told Americans within 20 years trust would collapse amid the Vietnam War and Watergate.

It would have sounded preposterous if you told Americans in the 1970s that within 20 years trust and faith in government would have surged amid 1990s prosperity and balanced budgets.

And equally absurd if you told Americans in the 1990s that we'd be where we are today.

Cycles are so hard to predict, because it's easier to forecast in straight lines. What's almost impossible to detect in real time is the same forces fueling public opinion plant the seeds of their own demise. When times are good, people get complacent and stop caring about good governance. When times are bad they get fed up and say, "Enough of this." And I think we're not far from that today.

I have a theory about nostalgia: It happens because the best survival strategy in an uncertain world is to overworry. When you look back, you forget about all the things you worried about that never came true. So life appears better in the past because in hindsight there wasn't as much to worry about as you were actually worrying about at the time.

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annapolis73 25 Jan

You always do a wonderful job of using logic to explain things. Just one problem. Sometimes it doesn't.

Nostalgia: "a sad pleasure experienced in recalling what no longer exists"

What we are currently living through under Trump risks all of what you describe as irrelevant.

I'm 74 and my father was born in 1909. He survived the death of his father and the resultant poverty from age 13. The Great Depression was real and finding a job was impossible for him. He enlisted at age 30 in 1939 while his relatives, still in Poland were being murdered. We still have the letters from those trying to escape the Nazi regime. One death is a tragedy. Six million is unimaginable.

Here is a piece of wisdom I was left with not so wistfully uttered: "Nobody wakes up thinking that some horrible things will happen in their lifetime and then they do. Never rationalize. Act."

Collectively, "housing affordability" may explain some American angst. But it too is a mere distraction given the horror show we are living through.

You may be whistling past the graveyard Mr. Housel. These just could be the "good 'ol days."

It is not AI that I fear, but the people who don't.

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Neil Griffin 25 Jan

Hi Morgan. I love your work.

Correction for you: "An iron rule of math is that 50% of the population has to be below average. It's true for income, intelligence, health, wealth, everything. And it's a brutal reality in a world where social media stuffs the top 1% of moments of the top 1% of people in your face."

I slightly disagree with your premise.

"Average" should be changed to "Median." In a data set with 1, 98, and 99, the average is 66. There is only 33% of the population under 66. By definition, there are equal numbers of the population above and below the median. The differentiation is important when you consider things like the average versus median 401(K) balances (where high balance savers skew the average). In this example, the population average is way higher than the median (more than 50% below the average).

In your example, the top 1% are probably pissing off a lot more more than 50%. Thoughts?

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